B3-3.3-02, Bonus, Commission, Overtime, and Tip Income (03/04/2026

The following table provides requirements for bonus, commission, overtime and tip income.

Documentation	The lender must obtain • a completed *Request for Verification of Employment* (Form 1005), or • the most recent paystub and two years' W-2s. Additionally, a verbal VOE is required. See B3-3.1-04, Verbal Verification of Employment for s **Note:** For tip income not reported by the employer, two years' personal tax returns with IRS F
Income History	A minimum two-year history is recommended; however, income received for a shorter period, b acceptable if there are positive factors to reasonably offset the shorter income history.
Income Continuance	The lender is not required to verify continuance unless they have reason to believe the income

Determination of Qualifying Income	The lender must determine the income frequency (for example, weekly, biweekly, monthly, qua monthly income amount. Once the monthly year-to-date income amount is determined, it mus years. Depending on the historical trend of the income, the lender must calculate qualifying inc • **Stable or Increasing:** Calculate an average income amount using year-to-date and previou months included in the year-to-date paystub and W-2s. The calculation must include a min • **Decreasing:** The lender must confirm the current income level has stabilized after the decl qualifying. To calculate income, use the year-to-date income divided by months elapsed si When bonus income is used for qualification, the lender must calculate the monthly amount ac example, if a borrower receives an annual bonus on March 31st of each year, the bonus income determine the appropriate monthly bonus amount. The lender must also ensure that all suppo income used in the qualification process. **Note:** When a documented, non-recurring event outside the borrower's control temporarily p lender may exclude that period from the income calculation.

Recent Related Announcements

The table below provides reference to recently issued Announcements related to this topic.

Announcements	Issue D
Announcement SEL-2026-02	March